11.2 PLANT LOCATION

Plant location is important exercise of selecting a suitable site and area of establishing a new plant or for expanding a existing plant. This is very essential as it decides the operational and capital cost of the product.

11.3 IMPORTANT FACTORS TO BE CONSIDERED IN SELECTING A PLANT LOCATION

1. The plant should be located as near as possible to the place where the raw materials are available. This will reduce the cost involved in transportation of the raw materials.
2. The location should be conveniently connected by highways and railways.
3. The availability of adequate labour is an important factor.
4. The topography of geography, area of available land, shape of the site and drainage facilities should be suitable to the needs of the plant. The location should not be prone to floods and earthquakes.
5. Sufficient quantity of quality water should be available near the plant location.
6. The atmosphere of the plant should provide adequate lighting and ventilation facilities.
7. Electrical power of adequate strength and necessary fuel should be available at the plant location
8. Location of the plant should be selected to avail maximum tax concessions, loan facilities and low power tariff.
9. Proper housing facilities for the employees, presence of hospitals, educational institutions, banks, markets and recreational facilities should also be considered while selection locations.
10. Presence of related industries near the location is preferable.

11.4 PLANT LAYOUT

The physical arrangements of buildings, machinery, equipments, workplaces and other facilities for the manufacturing process is known as plant layout.

ADVANTAGES OF A GOOD PLANT LAYOUTS

1. Handling of materials and transportation becomes minimum.
2. The rate of production increases because of effective use of man and machines.
3. Workers feel comfortable with less movement inside the plant.
4. The available space is economically and efficiently used.
5. Investments on equipments becomes minimum.
6. Simple, easy and effective supervision is possible.

11.5 WORK STUDY

Work study is a technique to increase the productivity. It is used to find out the reasons for shortfall in the efficiency of the human work and set guidelines for improvement. By increasing production, the cost is reduced and the product reaches more people. Work study aims on the above objective.

Work study is a combination of two techniques namely

GM_Chp11.indd 144 14-02-2019 11:47:26